incident spread like wild fire in business and financial circles. Smith had never hidden his relationship with Mrs. Allen and so the possibility of a private scandal always existed.[58] Smith was taking Mrs Allen with him to Europe and since the boat was late she was in Smith's room at the bank.

Taylor wrote to Smith on June 27, 1936, denying both charges. He said that he was astonished at Smith's 'entirely unexpected parting attack.'[59] Three days later he wrote to Grigg about what had transpired saying, 'it is obvious that in these circumstances one or other of us must go.'[60] Taylor also wrote: 'Sikander has also asked me to tell you that if my position is not satisfactorily vindicated he will have to request for his relief earlier than anticipated.'[61] Smith who had by then sailed for England on the *S.S. Ranpura* wrote to Taylor on July 2, 1936: 'My chief grouse of you is, not that you intrigue with Grigg against me (as you put it), but that, despite my many hints to you, (and Sir Sikander has spoken to you in similar strain) you apparently cannot dissociate yourself from your old job of government servant, and still frequently write to government officials, and receive from them, without acquainting me.'[62] He also objected to Taylor's visiting Simla without informing him. 'If you were going there on Bank's business I should certainly have known, if other than Bank business you shouldn't go, especially in my absence.'[63]

This incident snowballed into a full-fledged crisis with Taylor threatening to resign if Smith did not. Smith persisted in the accusations against Taylor which gave credence to Grigg's view that the incident was premeditated and not merely a burst of temper. Taylor informed Grigg, and later the Viceroy, that he could no longer work with Smith and would resign if Smith returned to India. Grigg had also threatened to resign if Taylor went. Linlithgow, the Viceroy, had already written to Norman that Smith was unfit to be Governor and if push came to shove, he would remove Smith under Section 11 of the RBI Act. Grigg said that the knowledge that he was going to be sacked would make Smith resign on grounds of health and it would be better for everyone, including Norman, who was the only one still backing Smith.

Taylor made out a kind of charge sheet against Smith, the principal charges levelled against him being his temperamental inability to understand the difference between a central and an ordinary trading bank, his irascibility and most damning of all his avarice. Among the things Taylor noted to substantiate the last charge was the fact that Smith had